

British-American Investments Company (Kenya) Limited

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20 August, 2014

Mr. Peter Mwangi
The Chief Executive Officer
Nairobi Securities Exchange Limited
The Exchange
55 Westlands Road
NAIROBI



Dear Sir,

BRITISH-AMERICAN INVESTMENTS COMPANY (K) LIMITED
GROUP FINANCIAL RESULTS FOR THE PERIOD ENDED 30 JUNE 2014

We are pleased to enclose the following unaudited financial statements for the period ended 30 June, 2014:

1. Consolidated Income Statement;
2. Consolidated Statement of Comprehensive Income;
3. Consolidated Statement of Financial Position;
4. Consolidated Statement of Changes in Equity;
5. Consolidated Statement of Cash Flows.

The Board of Directors does not recommend payment of an interim dividend.

Yours faithfully,

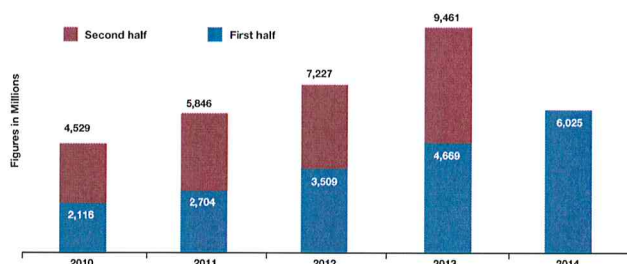
British-American Investments Co. (K) Ltd

Nancy Kiruki
Group Company Secretary

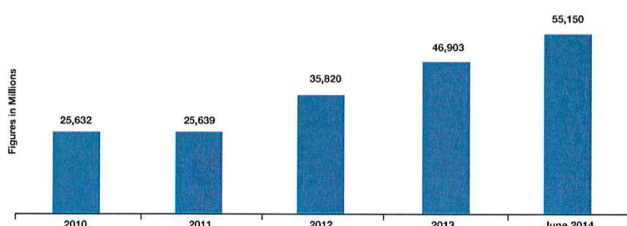
Encl.

Pensions
Insurance
Asset Management
Property

REVENUE



TOTAL ASSETS



FINANCIAL STATEMENTS COMMENTARY

The Group sustained high performance in the first half of 2014 against same period in 2013

- Profit before tax of Shs 3.0 billion, a growth of 31.0% from Shs 2.3 billion
- Comprehensive income of Shs 6.1 billion, a growth of 65.0% from Shs 3.7 billion
- Core business revenue of Shs 6.0 billion from Shs 4.7 billion, a growth of 30.9%
- Revenue for the insurance business in Kenya of Shs 5.3 billion compared to Shs 4.3 billion, a growth of 24.8%
- Asset management revenue of Shs 414.9 million compared to Shs 268.1 million, a growth of 54.8%
- Regional offices contribution grew 54.9% to Shs 262.9 million from 117.9 million
- Investment returns were exceptionally good. We achieved investment income of Shs 4.6 billion from Shs 3.7 billion, a growth of 25.7%
- Asset base of Shs 55.2 billion, a growth of 28.3% from Shs 43.0 billion
- Assets under management (AUM) for the asset management business of Shs 41.5 billion from Shs 32.7 billion, a growth of 26.9%
- Expenses grew significantly necessitated by the investment for growth in IT, mergers and acquisitions and regional expansion for which revenues are not yet realised

The Group continued to implement its growth and diversification strategy of increased local and regional presence, innovative product offering, IT-enabled business transformation and capacity enhancement. We have registered major milestones in the implementation of the real estate and private equity initiatives. To fund our above strategy, we successfully raised Shs 6 billion through a corporate bond. The issue was a great success achieving 247% subscription rate, a sign of the confidence investors have in Britam.

There has been no change in accounting policies and methods of computation of the results.

CONSOLIDATED STATEMENT OF INCOME

	30 June 2014 Shs '000	30 June 2013 Shs '000
Gross earned premiums and fund management fees	6,025,208	4,669,423
Less: reinsurance premium ceded	(583,882)	(577,578)
Net earned premiums	5,441,326	4,091,845
Investment income	4,647,613	3,744,591
Commissions earned	141,722	137,586
Other income	12,246	12,222
Total Revenue	10,242,907	7,986,244
Expenses		
Net insurance claims and loss adjustment expenses	3,598,834	2,497,180
Interest payments increase in unit value	860,622	1,178,365
Operating and other expenses	1,832,683	1,229,229
Commissions payable	1,093,675	887,553
Total Expenses	7,385,814	5,792,327
Profit before share of profit of associate	2,857,093	2,193,917
Share of profit of associates	152,503	86,408
Profit before tax	3,009,596	2,280,325
Income tax expense	(263,208)	(121,984)
Profit for the year	2,746,388	2,158,341
Gains on revaluation of financial assets at fair value through other comprehensive income	3,295,442	1,512,583
Net gains on all other items of comprehensive income	23,704	6,188
Comprehensive income for the period	6,065,534	3,677,112
Basic and diluted earnings per share (Kshs per share)	1.45	1.14

CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	30 June 2014 Shs'000	30 June 2013 Shs'000
Share capital	189,145	189,145
Share premium	3,164,455	3,164,455
Other reserves	13,643,150	8,094,041
Retained earnings	5,530,717	5,058,685
Shareholders' funds	22,527,467	16,506,326
Represented by:		
Assets		
Fixed assets	1,566,494	1,169,801
Investment assets	46,020,370	34,084,461
Insurance assets	3,227,250	3,427,999
Cash and cash equivalents	3,489,802	3,427,087
Other assets	846,600	864,146
Total assets	55,150,516	42,973,494
Liabilities		
Insurance liabilities	31,839,843	25,620,625
Other liabilities	783,206	846,543
Total liabilities	32,623,049	26,467,168
Net assets	22,527,467	16,506,326

DIVIDEND

The Board does not recommend payment of an interim dividend.

STATEMENT FROM THE DIRECTORS

The above financial statements are extracts of the unaudited financial results of the Group

Signed: Amb. Dr. Francis K. Muthaura (Chairman)

Dr. Benson I. Wairegi (Group Managing Director)

FINANCIAL RESULTS FOR THE 6 MONTHS PERIOD TO 30TH JUNE 2014

The Board of Directors of British-American Investments Company (Kenya) Limited (Britam) is pleased to announce the unaudited group results for the six months period ended 30 June 2014.

PERFORMANCE & STRATEGY OVERVIEW

The Group achieved half-year profit before tax of Shs 3.0 billion a growth of 31.0% from Shs 2.3 billion in the first half of 2013 and total comprehensive income of Shs 6.1 billion a growth of 65% from Shs 3.7 billion for the 6 months to 30th June 2013.

The core businesses generated total revenue of Shs 6.0 billion compared with Shs 4.7 billion for the 6 months period to 30 June 2013. Insurance business contributed revenue of Shs 5.6 billion, 27.5% growth over Shs 4.4 billion in June 2013. Asset management business contributed revenue of Shs 413.8 million, a growth of 54.9% over Shs 267 million for the first half of 2013.

Investment income for the period to 30th June 2014 was exceptionally good and amounted to Shs 4.6 billion, a growth of 24.1% from Shs 3.7 billion achieved in the first half of 2013.

The Group's total assets as at 30th June 2014 were Shs 55.2 billion, a growth of 28.3% from Shs 43.0 billion as at end of June 2013. The assets under management by British-American Asset Managers Limited increased by 26.9% to Shs 41.5 billion from Shs 32.7 billion as at end of the first half in 2013.

Expenses grew significantly necessitated by the investment for growth in IT, mergers and acquisitions and regional expansion for which revenues are not yet realised.

The Group continued to implement its growth and diversification strategy of increased local and regional presence, innovative product offering, IT enabled business transformation and capacity enhancement. We have registered major milestones in the implementation of the real estate and private equity initiatives. To fund our above strategy, we successfully raised Shs 6 bn through a corporate bond. The issue was a great success achieving 147% oversubscription, a sign of the confidence investors have in Britam.

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ACCOUNTING POLICIES AND METHODS

There have been no changes in accounting policies and methods of computation of the results.

DIVIDEND

The Board of Directors does not recommend payment of an interim dividend.

Consolidated Income Statement

	30 June 2014 Shs'000	31 December 2013 Shs'000	30 June 2013 Shs'000
Gross earned premiums	5,611,457	8,847,166	4,402,259
Less: reinsurance premium ceded	(583,881)	(1,095,967)	(577,578)
Net earned premiums	5,027,576	7,751,199	3,824,681
Fund management fees	413,750	613,511	267,164
Investment income	1,694,847	2,759,463	1,060,872
Net realised gains on financial assets	88,705	232,727	333,778
Net fair value gains on financial assets at fair value through profit and loss	2,864,061	3,355,542	2,349,941
Commissions earned	141,722	370,520	137,586
Other income	12,247	47,096	12,223
Total Revenue	10,242,907	15,130,058	7,986,245
Expenses			
Insurance claims and loss adjustment expenses	2,125,666	3,270,310	1,731,578
Less: amount recoverable from reinsurers	(170,885)	(293,259)	(144,266)
Change in actuarial value of policyholder benefits	1,644,054	1,849,669	909,868
Net insurance benefits and claims	3,598,834	4,826,720	2,497,180
Interest payments/increase(decrease) in unit value	860,622	2,204,587	1,178,365
Operating and other expenses	1,832,683	3,210,990	1,229,229
Commissions payable	1,093,675	1,873,285	887,553
Total Expenses	7,385,815	12,115,582	5,792,327
Profit before share of the associate	2,857,093	3,014,476	2,193,918
Share of profit of the associate	152,503	181,685	86,408
Profit before tax	3,009,596	3,196,161	2,280,326
Income tax expense	(263,208)	(542,372)	(121,984)
Profit for the year	2,746,388	2,653,789	2,158,342
Basic and diluted EPS (Kshs per share)	1.45	1.40	1.14

Consolidated Statement of Comprehensive Income

	30 June 2014	31 December 2013	30 June 2013
	Shs'000	Shs'000	Shs'000
Profit for the year	2,746,388	2,653,789	2,158,342
Other comprehensive income items net of tax:			
Gains on revaluation of land and buildings	12,627	26,699	-
Re-measurement of the net defined benefit asset	-	14,266	-
Gains on revaluation of financial assets at fair value through other comprehensive income	3,295,442	1,512,800	1,512,583
Associate share of fair value gains on financial assets at fair value through other comprehensive income	11,641	-	-
Total items that will not be reclassified to profit or loss	3,319,710	1,553,765	1,512,583
Items that may be subsequently reclassified to profit or loss			
Currency translation losses	(564)	(2,954)	6,187
Total items that may be subsequently reclassified to profit or loss	(564)	(2,954)	6,187
Total other comprehensive income	3,319,146	1,550,811	1,518,770
Total comprehensive income for the year	6,065,534	4,204,600	3,677,112

Consolidated Statement of Financial Position

	30 June 2014	31 December 2013	30 June 2013
	Shs'000	Shs'000	Shs'000
Capital employed			
Share capital	189,145	189,145	189,145
Share premium	3,164,455	3,164,455	3,164,455
Other reserves	14,886,917	10,324,005	8,094,041
Retained earnings	4,286,951	2,784,329	5,058,684
Proposed dividends	-	472,863	-
Shareholders' funds	22,527,467	16,934,797	16,506,325
REPRESENTED BY:			
Assets			
Property and equipment	1,424,905	1,163,280	1,037,582
Intangible assets	141,588	134,629	132,219
Investment in associate	1,986,444	1,867,081	1,529,667
Investment property	5,009,622	3,782,181	1,904,185
Quoted ordinary shares at fair value through other comprehensive income	9,940,351	6,109,614	4,618,125
Financial assets at fair value through profit and loss			
- quoted ordinary shares	9,591,676	7,632,998	8,981,007
- unquoted ordinary shares	3,770	3,770	3,611
- unit trusts	7,325,843	8,066,022	7,377,714
- Corporate bonds	-	-	-
- government securities	1,182,406	565,093	451,824
Corporate bond at amortised cost	871,673	591,920	523,089
Government securities at amortised cost	8,864,296	8,166,134	7,474,347
Mortgage loans and receivables	799,026	793,815	865,611
Loans and receivables to policy holders	445,262	376,778	355,282
Receivables arising out of reinsurance arrangements	189,388	81,228	30,626
Receivables arising out of direct insurance arrangements	1,212,163	1,053,931	846,263
Reinsurers' share of insurance liabilities	1,584,151	2,410,417	2,414,148
Deferred acquisition costs	241,548	180,389	136,962
Deferred income tax	3,676	5,255	4,198
Tax recoverable	85,785	83,042	193,230
Receivables from related parties	10,100	-	16,469
Other receivables	746,854	626,201	650,249
Retirement benefit asset	186	186	-
Deposits with financial institutions	2,466,555	2,591,418	3,144,406
Cash and bank balances	1,023,246	617,196	282,681
Total assets	55,150,516	46,902,578	42,973,495
Liabilities			
Insurance contracts liabilities	13,208,476	12,137,169	11,480,885
Payable under deposit administration contracts	9,271,842	8,109,075	6,795,670
Liabilities under investment contracts	6,704,483	6,414,370	5,751,526
Unearned premium	2,402,716	1,889,452	1,558,097
Creditors arising from reinsurance arrangements	252,326	107,709	34,446
Retirement benefit liability	-	-	14,080
Bank loan	-	-	-
Other payables	655,200	958,913	427,028
Dividend Payable	2,641	-	138,445
Overdraft	114,500	116,691	162,318
Current income tax payable	10,866	234,402	104,675
Total liabilities	32,623,049	29,967,781	26,467,170
Net assets	22,527,467	16,934,797	16,506,325

Consolidated Statement of Changes in Equity

Period ended 30 June 2014	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
At start of year	189,145	3,164,455	10,324,004	2,784,329	472,863	16,934,796
Total comprehensive income for the year						
Profit of the year	-	-	-	2,746,388	-	2,746,388
Other comprehensive income/(loss):						
Gains on revaluation of land and buildings	-	-	12,627	-	-	12,627
Currency translation losses	-	-	(564)	-	-	(564)
Fair value gains on financial assets at fair value through other comprehensive income	-	-	3,295,442	-	-	3,295,442
Associate Share of fair value gains on financial assets at fair value through other comprehensive income	-	-	11,641	-	-	11,641
Total other comprehensive income	-	-	3,319,147	-	-	3,319,147
Total comprehensive income for the year	-	-	3,319,147	2,746,388	-	6,065,534
Transfer to other reserves			1,243,766	(1,243,766)		
Transactions with owners						
- Final for 2013 paid	-	-	-	-	(472,863)	(472,863)
-Proposed final for 2014	-	-	-	-	-	-
Total transactions with owners	-	-	-	-	(472,863)	(472,863)
At end of period	189,145	3,164,455	14,886,916	4,286,951	-	22,527,467

Consolidated Statement of Changes in Equity (Cont'd...)

Period ended 31 December 2013	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
At start of year	189,145	3,164,455	5,745,519	2,900,342	472,863	12,472,324
Transfer of reserves on adoption of IFRS 9			568,850	(614,074)		(45,224)
Comprehensive income						
Profit of the year	-	-	-	2,653,789		2,653,789
Other Comprehensive income/(loss)						
Gain on revaluation of land and buildings	-	-	26,699	-	-	26,699
Currency translation losses	-	-	(2,954)	-	-	(2,954)
Fair value gains on financial assets at fair value through other comprehensive income	-	-	1,512,800	-	-	1,512,800
Re-measurement of the net defined benefit asset/liability			14,266			14,266
Total other comprehensive income	-	-	1,550,811	-	-	1,550,811
Total comprehensive income for the year	-	-	1,550,811	2,653,789	-	4,204,600
Transfer to other reserves	-	-	1,305,965	(1,305,965)	-	-
Transactions with owners						
Proceeds from sale of treasury shares			752,860			752,860
Capitalisation of reserves by subsidiary			400,000	(400,000)		
Dividends:						
- Final for 2012	-	-	-	23,100	(472,863)	(449,763)
- Proposed final for 2013	-	-	-	(472,863)	472,863	-
Total transactions with owners	-	-	1,152,860	(849,763)	-	303,097
At end of period	189,145	3,164,455	10,324,005	2,784,329	472,863	16,934,797

Consolidated Statement of Changes in Equity (Cont'd...)

Consolidated Statement of Changes in Equity

Period ended 30 June 2013	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
At start of year	189,145	3,164,455	5,745,519	2,900,342	472,863	12,472,324
Total comprehensive income for the year						
Profit of the year	-	-	-	2,158,342	-	2,158,342
Other comprehensive income/(loss):						
Currency translation losses	-		6,187	-	-	6,187
Fair value gains on available-for-sale financial assets	-	-	1,512,583	-	-	1,512,583
Total other comprehensive income	-	-	1,518,770	-	-	1,518,770
Total comprehensive income for the year	-	-	1,518,770	2,158,342	-	3,677,112
Transfer to other reserves	-	-	-	-	-	-
Transactions with owners						
Treasury shares			829,752			829,752
Dividends:	-	-	-	-	-	-
- Final for 2012 paid	-	-	-	-	(472,863)	(472,863)
- Proposed final for 2013	-	-	-	-	-	-
Total transactions with owners	-	-	829,752	-	(472,863)	356,889
At end of period	189,145	3,164,455	8,094,041	5,058,684	-	16,506,325

Consolidated Statement of Cash Flows

	30 Jun. 2014 Shs'000	31 Dec. 13 Shs'000	30 Jun. 2013 Shs'000
Operating activities			
Cash generated from operations	1,546,792	2,355,068	758,616
Foreign currency(gains)/ losses	-	(7,732)	-
Income tax paid	(263,208)	(392,823)	(229,671)
Net cash from operating activities	1,283,583	1,954,513	528,945
Investing activities			
Sale of treasury shares	-	752,861	-
Purchase of property and equipment	(161,625)	(310,691)	(123,924)
Purchase of intangible assets	(6,959)	(45,508)	(30,414)
Investment in associate	-	(288,012)	-
Purchase of investment property	(925,957)	(1,080,031)	(198,127)
Proceeds from disposal of quoted shares - at fair value through comprehensive income	481,137	481,138	601,434
Purchase of quoted shares at fair value through profit and loss	(123,122)	(193,423)	(136,872)
Proceeds from disposal of quoted shares - at fair value through profit or loss	215,555	299,031	661,756
Purchase of unquoted shares	-	(251)	-
Net investment in unit trusts at fair value through profit and loss	(232,321)	(397,408)	(445,623)
Net investment in corporate bond at amortised cost	-	(83,562)	(14,731)
Net investment in government securities at fair value through profit and loss	(758,678)	(142,999)	25,840
Net investment in government securities at amortised cost	(498,162)	(1,718,651)	(1,065,547)
Mortgage loans and receivables advanced	(94,964)	(168,012)	(69,973)
Mortgage loans and receivables repayments	89,754	169,957	16,383
Policy loans and receivables advanced	(247,561)	(306,912)	(141,711)
Policy loans repayments and receivables	179,076	239,589	95,884
Dividend received	678,701	546,536	551,163
Rent and interest received	844,031	1,489,230	999,786
Net cash (used in)/generated from investing activities	(561,095)	(757,117)	725,325
Cash flows from financing activities			
Dividends paid	(439,109)	(449,763)	-
Interest paid	-	(627)	-
Loan repayment	-	-	(334,418)
Net Cash used in financing activities	(439,109)	(450,390)	(334,418)
Net increase/ (decline) in cash and cash equivalents	283,379	747,006	919,852
At start of year	3,091,923	2,344,917	2,344,917
Increase / (decrease)	283,379	-	919,852
At end of period	3,375,302	3,091,923	3,264,769